External Blockholder Concentration and Real Earnings Management in India: Re-evaluating the Private Benefit Hypothesis in Group-Affiliated Firms

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ABSTRACT

This study investigates the association between external blockholder concentration and real earnings management (REM) among group-affiliated firms in India. Grounded in the Private Benefit Hypothesis, the research posits that external blockholders—motivated by short-term performance gains—may exert pressure on managers to manipulate reported earnings. Using a comprehensive dataset of 652 firms representing 4,342 firm-year observations from 2011 to 2021, the study measures REM through discretionary spending adjustments in advertising, research and development (R&D), and selling, general, and administrative (SGA) expenses. The findings reveal that promoter ownership does not induce REM; instead, higher promoter holdings are associated with reduced earnings manipulation. Conversely, a greater concentration of external blockholders significantly increases REM, suggesting that firms with substantial outsider ownership may strategically reduce discretionary expenditures to inflate short-term earnings. Potential explanations include speculative investment motives, strategic alignment between external blockholders and management, free-rider challenges, and limited monitoring expertise. The moderating analysis further indicates that the influence of external blockholders weakens as business group size increases, underscoring the complex dynamics of ownership structures within conglomerates. Overall, the study contributes to the literature on ownership structure and financial reporting quality in emerging markets. The results highlight that transient external investors tend to encourage real activity manipulation, whereas long-term investment horizons may enhance reporting transparency. These insights hold strong implications for

regulators and policymakers seeking to strengthen governance mechanisms and improve corporate disclosure quality in India.

Keywords: Private Benefit Hypothesis, External Blockholders, Real Earnings Management, Discretionary Spending, Group-Affiliated Firms

JEL Classifications: G32, M41, G34

1. Introduction

The relationship between external blockholder concentration and earnings management has a theoretical foundation in the private benefit hypothesis (or expropriation hypothesis). This school of thinking proposes two main arguments for why an external blockholders ownership concentration is associated with considerably larger earnings management. Large external blockholders can use their influence over the investee company to access price-sensitive proprietary information about the company and then profit from trading on that information at the expense of other shareholders. So, managers are cautioned against allowing external blockholders to gain an unfair advantage by mishandling price-sensitive information (Grossman and Hart, 1980; Koh, 2007). Moreover, external blockholders who are only concerned with the short-term success of their assets frequently distort portfolio management to maximize any rapid gains in stock price. In order to prevent these transient blockholders from liquidating their stakes, there would be strong pressure on the company's management to meet or surpass the profits expectations established by market analysts (Lin and Manowan,2012; Hsu and Wen, 2015; Chan et al., 2015; Debnath et al. 2021; Chen et al., 2007). Using the private benefit hypothesis as a framework, the present study argues that a high concentration of external blockholders is associated with higher real earnings management.

External auditors scrutinize the reporting of accruals, and strict corporate reporting regulations also discourage accruals management. Contrarily, there is no check on how the real operations are being managed. Therefore, an environment conducive to efficient earnings management can be easily generated through the management of real operations. More and more emphasis is being placed on the control of discretionary spending in order to inflate reported earnings (Bushee, 1998; Bange, de Bondt, 1998).

The present study used data from all group affiliates listed companies on the Indian stock market between 2011 and 2021. As a whole, 652 firms are represented by 4,342 firm years. Expenditures like research and development, advertising, selling, general, and administration (SGA) are examples of discretionary spending that contribute to the management of real operations. This finding suggests that promoters of the company are not motivating real earnings management at group-affiliated firms. Earnings management is less effective when promoter holdings are larger and vice versa. A positive association exists between the presence of external blockholders and REM. Companies with large external blockholders are more likely to participate in REM. Possible explanations include: investing for a short time for similar reasons as speculative investors do, forming a strategic alliance with the management to achieve their own goals; encountering a free-rider problem or a lack of competence; and so on. With a higher concentration of shares held by external blockholders, managers are more likely to manage the discretionary expenditure in pursuit of short-term opportunistic goals. Increased corporate reporting transparency is recommended to deal with institutional owners' pro-earnings management stance.

This research work has been organized into seven sections for ease of reading and comprehension. Section 1 provides an overview of the entire paper; Section 2 provides a theoretical context for the association between shareholder concentration and earnings management; section 3 discusses the literature review; section 4 explains the study's motivation; section 5 details the methodological approach, Section 6 delivers the results of the analysis. Section 7 concludes and discusses their implications.

2. Private Benefit Hypothesis

The theoretical background to hypothesize the relationship between external blockholder concentration and earnings management is the private benefit hypothesis (or expropriation hypothesis). According to the private benefit hypothesis, external blockholder can profit from privileged information due to its ease of availability during the trade. As a result, top-level executives may be dissuaded from releasing accurate financial results(AL-Duais et al., 2021). Furthermore, managers may be tempted to manipulate accruals to maintain short-term earnings growth due to the short-sightedness of institutional investors (Hsu and Wen, 2015). Because of the high incentives to meet short-term profit targets, companies with substantial shareholding by external blockholdings switch between AEM and REM (Chan et al.,2015). Managers may put short-term earnings goals ahead of the company's long-term interests in order to conciliate external blockholders' concentration (Bushee,1998). It implies that companies with volatile external shareholdings can artificially pressure management to inflate earnings (Hsu and Wang,2014).

According to this school of thought, two key reasons exist for the favorable correlation between the concentration of external blockholders and earnings management. Firstly, large external blockholders can readily access price-sensitive, privately available information from the investee firm by their influence on the firm and trade on such knowledge to the detriment of other shareholders. Managers are warned not to let price-sensitive information be used to their advantage by an external blockholder (Grossman and Hart, 1980; Koh, 2007) by not keeping the quality of reporting earrings. Second, external blockholders interested in their investments' short-term performance often manipulate portfolio management to maximize their immediate stock price gains. This resulted in increased pressure on the company's management to meet or exceed the earnings expectations, market analysts set to keep these transient blockholders from liquidating their interests. In this setting, the concentration of the blockholders has a positive effect on earnings management (Lin and Manowan,2012; Hsu and Wen, 2015; Chan et al., 2015; Debnath et al., 2021; Chen et al., 2007).

Compared with accruals management, real earnings management is where we can most easily connect the private benefit hypothesis and the expropriation hypothesis. External auditors put the management of accruals under the microscope, and stringent corporate reporting rules actively discourage it as a practice. On the other hand, no audit is conducted on the management of real activities. Therefore, effective management of real operations can readily produce an environment favorable to the effective management of earnings. Management of discretionary spending is becoming a more prominent real activity to inflation of the reported earnings

Making use of the private benefit hypothesis as a point of reference, The present study proposes a positive association between the concentration of external blockholders and real earnings management.

1H_1: External blockholder concentration is positively associated with real earnings management.

3. Review of Literature

Grossman and Hart(1980) used A-share data from 2002 to 2012 to analyze the impact of ownership structure and board characteristics on discretionary accruals and real earnings management. High shareholding proportions or concentrations offer managers incentives to manipulate discretionary accruals for short-term profit. Larger insider stakes can prevent earnings manipulation. Koh (2007) divides institutional investors into short-term and long-term groups depending on their investment horizons to analyze the association between investor type and companies' discretionary earnings management approaches. Institutional investors limit accruals management for companies that meet/beat earnings benchmarks. Long-term investors can constrain earnings management. Only companies that meet or outperform benchmarks have transient institutional ownership and active earnings management.

Lin and Manowan (2012) study the relationship between blockholder concentration and earnings management through discretionary accruals. The study doesn't discover meaningful results for earnings-decreasing management. This could be related to blockholders' personalities and time horizons. It investigates the association between their ownership and earnings management because most outside blockholders are institutional investors. It found a positive association between transient institutional investors and earnings management. Hsu and Wen(2015) analyze the effect of ownership structure on discretionary accruals and real earnings management from 2002 to 2012. The empirical findings show that managers in companies with a large proportion or concentration of shareholder ownership are motivated to manipulate discretionary accruals for short-term profitability. Larger controlling shareholders can check management and prevent them from distorting the company's bottom line.

Debnath et al. (2021) analyze the association between companies' ownership structure and earnings management in Bangladesh. The study spans 2000-2017 and employs 2195 Dhaka Stock Exchange firm-year observations. Institutional ownership is positively linked to real earnings management, while insider ownership is negatively related. Companies decrease discretionary spending to manage profitability if internal ownership is modest. Institutionally owned companies are more likely to manage real earnings by cutting prices, loosening lending standards, and reducing discretionary spending. This confirms previous findings. Companies without outside investors frequently manage their earnings by producing more than they need and eliminating other, less vital expenses.

4. The Motivation for the Study

Accruals management is the primary area of attention in the existing literature. Apart from a few studies on real activities management, no research has specifically examined how companies manipulate discretionary spending to inflate or deflate earnings(Grossman and Hart,1980; Koh,2007; Lin and Manowan,2012; Hsu and Wen,2015; Debnath et al.,2021). Given the paucity of prior research into the association between high levels of concentrated ownership and REM, with most of the focus placed on discretionary expenditure, the present study is inspired to look at this phenomenon. One of the most exploited areas in real activities management is discretionary spending, which may be leveraged to skew profits. Management has wide latitude in allocating resources for this one of the company's operational activities. According to the existing literature, three major types of expenditures can be categorized as discretionary spending: advertising, R&D, and SGA (selling, general, and administration). Compared to the previous study, this one used a much larger sample size of 652 firms, which equates to 4,342 firm years of data spanning 2011–2021. This is the first research to use discretionary spending and its constituent parts in different permutations and combinations as a stand-in for managing real activities. It adds to our understanding of how a shareholders' economic interest might affect due to real activities management by the investee firms to inflate the earnings.

The other motivation of the present study is a selection of group companies only in India. India is a large emerging economy dominated by family business groups and firms with concentrated ownership. This study investigates the association between ownership concentration and opportunistic real earnings management, particularly how affiliation with a business group influences this association. For many reasons, groups may engage in earnings management, including minority expropriation via resource tunneling (Kim and Yi, 2006) and tax minimization (Beuselinck and Deloof, 2014). In emerging economies, where strong legal institutions and investor protection mechanisms are often lacking (Sarkar et al., 2008), the correlation between business groups and earnings management takes on added significance (Leuz et al., 2003; Persakis and Iatridis, 2016).

According to research by Kim and Yi (2006), business-related group companies in Korea are more likely to engage in earnings management than nonaffiliated firms. Companies that are part of a business group have greater scope for maneuvering earnings because of the complexity of their structure compared to companies that are not part of a business group. Beuselinck and Deloof (2014) provide evidence from the Belgian setting. They show that companies within a business group can better control earnings than those outside the group. The prior literature motivates the author to take up this study on the sample of group-affiliated firms in India. The study provides insights into the dynamics of the relationship between blockholders' concentration and management of discretionary expenditure to manipulate the reported earnings to meet the earnings targets by the group affiliated firms with special reference to the Indian market.

5. Data and Methodology

All group-affiliated companies trading on the Indian stock exchange during the eleven years from 2011 to 2021 make up the sample for this analysis for a total of 4342 firm-years or 652 firms. The CMIE (Centre for Monitoring the Indian Economy). The prowess database has been used for all necessary data. Real activities management through discretionary spending for every year from 2011 to 2021 has been estimated using the NIC's two-digit industry classification. The estimation of industry-wise discretionary accruals is supported by previous research by authors like Ayers, Ramalingegowda, and Yeung (2011); because the features of a given industry substantially affect handling the real activities, especially discretionary accruals.

5.1 Measurement of REM

Sales manipulation, overproduction, and discretionary spending are the metrics used in the existing literature to estimate real activities management (Sugata Roychowdhury, 2006; Kim, Park, and Wier, 2012; McGuire, Omer, and Sharp, 2012; Brown, Chen, and Kim, 2015). The current research provides a detailed estimate of R&D, advertising, and selling, general, and administration(SGA) costs as examples of discretionary spending that contribute to the management of real activities. Here are the equations for estimating the three indicators and the total discretionary spending.

$$\frac{DISX_{it}}{ASSETS_{it-1}} = \alpha_0 + \beta_1 \frac{1}{ASSETS_{it-1}} + \beta_2 \frac{SALES_{it}}{ASSETS_{it-1}} + \beta 3 \frac{\Delta SALES_{it}}{ASSETS_{it-1}} + \varepsilon_{it} \ldots\ldots\ldots\ldots\ldots (1)$$

$$\frac{ADVT_{it}}{ASSETS_{it-1}} = \alpha_0 + \beta_1 \frac{1}{ASSETS_{it-1}} + \beta_2 \frac{SALES_{it}}{ASSETS_{it-1}} + \beta 3 \frac{\Delta SALES_{it}}{ASSETS_{it-1}} + \frac{ADVT_{it-1}}{ASSETS_{it-2}} \varepsilon_{it} \ldots\ldots (2)$$

$$\frac{RD_{it}}{ASSETS_{it-1}} = \alpha_0 + \beta_1 \frac{1}{ASSETS_{it-1}} + \beta_2 \frac{SALES_{it}}{ASSETS_{it-1}} + \beta 3 \frac{\Delta SALES_{it}}{ASSETS_{it-1}} + \frac{RD_{it-1}}{ASSETS_{it-2}} + \varepsilon_{it} \ldots\ldots\ldots (3)$$

$$\frac{SGA_{it}}{ASSETS_{it-1}} = \alpha_0 + \beta_1 \frac{1}{ASSETS_{it-1}} + \beta_2 \frac{SALES_{it-1}}{ASSETS_{it-1}} + \beta 3 \frac{\Delta SALES_{it}}{ASSETS_{it-1}} + \frac{SGA_{it-1}}{ASSETS_{it-2}} + \varepsilon_{it} \ldots\ldots (4)$$

The $DISX_{it}$ is total discretionary spending in equations (1); $ASSETS_{it-1}$ is a year-behind asset; $SALES_{it}$ is the current sales period; $\Delta SALES_{it}$ is the difference in sales current period against the previous period. $ADVT_{it}$ stands for "advertising spending current year," while $ADVT_{it-1}$ stands for "advertising spending last year." $ASSETS_{it-2}$ is the worth of assets as at the end of the immediately preceding previous year; The current year's research and development (R&D) expenditures are denoted by "RD_{it}," whereas the previous year's expenditures are represented by "RD_{it-1}." Selling, General, and Administrative costs (SGA_{it}) in the current year; SGA_{it-1} is the prior year's SGA_{it} figure. Scaled estimates of $DISX_{it}$, $ADVT_{it}$, RD_{it}, and SGA_{it} are computed, and the difference between the observed and expected values of these variables is defined as abnormal discretionary spending after being multiplied by -1. (Amy Y. Zang, 2012). Multiplying the abnormal discretionary expenditure values by(-1) reveals that the greater the value, the more the reduction in discretionary spending, i.e., the greater the real activities which the management engages in to inflate reported earnings. From 2011, discretionary spending estimates have been calculated annually for each NIC 2-digit categorization through 2021.

5.2. Regression models

Four empirical models have been developed to test the hypothesis that there is a correlation between the number of blockholders and the prevalence of REM. The concentration of controlling shareholders and external blockholders is introduced into the econometric model.

$$REM_{it} = \alpha_0 + \beta_1 PROM5_{it} + \beta_2 NONPROM5_{5t} + \gamma_m \, CONTROL_{mt} + \varepsilon_{it} ....(5)$$

$$REM01_{it} = \alpha_0 + \beta_1 PROM5_{it} + \beta_2 NONPROM5_{it} + \gamma_m \, CONTROL_{mt} + \varepsilon_{it} ....(6)$$

$$REM02_{it} = \alpha_0 + \beta_1 PROM5_{it} + \beta_2 NONPROM5_{it} + \gamma_m \, CONTROL_{mt} + \varepsilon_{it} ....(7)$$

$$REM03_{it} = \alpha_0 + \beta_1 PROM5_{it} + \beta_2 NONPROM5_{it} + \gamma_m \, CONTROL_{mt} + \varepsilon_{it} ....(8)$$

Abnormal discretionary spending (REM) is derived from equation(1): REM01 is abnormal discretionary spending on advertising and R&D (equations (2)&(3)); REM02 is abnormal discretionary spending on advertising and selling, general and administrative costs (SGA)(equation (2)$(4); REM03 is discretionary spending on R&D and SGA(equation (3)&(4). PROM5 is the sum of the five largest controlling shareholdings, and NONPROM is the sum of the five largest external blockholdings.

The term "CONTROL" refers to the controlling group of variables. It consists of ‘ZSCORE,’ which indicates Altman's Z-Score value, and ROA stands for ‘return on assets.’ SIZE is the log value of assets; The debt-to-equity ratio is referred to as the LEV, whereas the market-to-book value ratio is the MBV. The term "ACMEET" refers to the number of meetings the audit committee holds in a calendar year. "ACSIZE" refers to the number of individuals who serve on the audit committee. ‘BOARDIND’ refers to the percentage of independent directors representing the board, while ‘BOARDSIZE’ refers to the total number of board members. BIG5 is a dummy variable representing audits carried out by the big five auditors or other auditing firms. During the process of estimating the empirical model, industry fixed effects that are determined by the NIC two-digit classification, and year-wise fixed effects are both incorporated.

6. Results of the Analysis

6.1. Univariate Analysis

Table 1(A): Descriptive Statistics

	REM	REM01	REM02	REM03	NONPROM_TOP5	PROM_TOP5	ZSCORE	ROA
Mean	-0.355	-0.011	-0.162	-0.151	13.515	51.099	11.878	0.748
Median	0.634	0.013	0.216	0.227	11.790	52.600	3.000	1.290
Maximum	10.336	0.498	7.320	7.170	34.480	97.350	120.271	15.311
Minimum	-15.036	-0.760	-8.956	-8.700	1.890	0.010	-0.725	-20.295
Std. Dev.	6.142	0.269	3.839	3.756	8.754	17.996	28.464	8.279
Skewness	-0.639	-0.985	-0.365	-0.345	0.819	-0.452	3.167	-0.713
Kurtosis	3.263	4.861	3.200	3.165	2.978	2.835	11.777	3.684
Observations	4342	4342	4342	4342	4342	4342	4342	4342

Source: Author’s calculations

Table 1(B): Descriptive Statistics

	SIZE	LEVERAGE	MBV	ACMEET	ACSIZE	BOARDIND	BOARDSIZE	BIG5
Mean	7.825	0.658	1.700	3.931	3.745	0.494	7.824	0.180
Median	7.855	0.180	0.840	4.000	4.000	0.500	7.000	0.000
Maximum	14.943	3.912	8.111	7.000	6.000	0.750	14.000	1.000
Minimum	-2.303	0.000	0.000	0.000	0.000	0.000	2.000	0.000
Std. Dev.	2.454	1.030	2.162	1.705	1.333	0.172	3.092	0.385
Skewness	-0.060	2.016	1.753	-1.057	-0.715	-1.374	0.290	1.663
Kurtosis	2.615	6.325	5.266	4.184	4.485	5.191	2.489	3.764
Observations	4342	4342	4342	4342	4342	4342	4342	4342

Source: Author's calculations

Table 2(A): Correlation Analysis

Probability	REM	REM01	REM02	REM03	NONPROM TOP5	PROM TOP5	ZSCORE	ROA
REM	1							
REM01	0.153*	1						
REM02	0.697*	0.179*	1					
REM03	0.689*	0.133*	0.988*	1				
NONPROM_TOP5	0.059*	0.015	0.053*	0.055*	1			
PROM_TOP5	-0.048*	0.001	-0.033*	-0.032*	-0.397*	1		
ZSCORE	-0.089*	-0.063*	-0.014	-0.011	-0.005	0.049*	1	
ROA	-0.006	-0.076*	0.041*	0.042*	0.000	0.060*	0.269*	1
SIZE	0.027*	-0.057*	0.042*	0.041*	0.044*	0.022	0.156*	0.304*
LEVERAGE	0.025*	0.030*	0.009	0.010	0.024	-0.016	-0.217*	-0.098*
MBV	-0.146*	-0.110*	-0.047*	-0.039*	0.033*	0.063*	0.316*	0.320*
ACMEET	-0.024	-0.038*	-0.029*	-0.031*	-0.005	0.018	0.069*	0.079*
ACSIZE	-0.006	-0.037*	-0.002	-0.004	-0.036*	0.025*	0.098*	0.115*
BOARDIND	0.048*	-0.032*	0.029*	0.031*	0.004	-0.089*	-0.019	0.027*
BOARDSIZE	-0.049*	-0.083*	-0.018	-0.016	-0.011	-0.041*	0.157*	0.249*

Source: Author's Estimation from correlation analysis; *indicates a 5 percent level of significance

Table 2(B): Correlation Analysis

Variables	SIZE	LEVERAGE	MBV	ACMEET	ACSIZE	BOARD IND	BOARD SIZE
SIZE	1						
LEVERAGE	0.213*	1					
MBV	0.278*	0.101*	1				
ACMEET	0.373*	0.054*	0.152*	1			
ACSIZE	0.324*	0.041*	0.131*	0.522*	1		
BOARDIND	0.067*	0.048*	0.003	0.208*	0.208*	1	
BOARDSIZE	0.577*	0.087*	0.236*	0.275*	0.419*	0.254*	1

Source: Author's Estimation from correlation analysis; *indicates a 5 percent level of significance

The kurtosis values in Tables 1(A) and 1(B) demonstrate that, except for the REM01 score, the leverage, and the MBV, most variables are closer to 3. Outliers are managed, and their influence on the regression findings is minimized by the winsorization of all the variables, which brings the kurtosis value down and helps bring it closer to 3. The maximum value of REM is 10.336 percent, the smallest value is -15.036 percent, and the mean value is -0.355 percent. The highest controlling holding is 97.35 percent, and the minimum value is 0.010. its mean value is 51.099 percent. It shows that certain companies in which the founder members alone hold a significant portion of the company's shares. The maximum value of the external blockholdings adds up to 34.48 percent, and the minimum value is 1.89 percent, while the average value comes in at 13.515 percent.

According to the findings presented in Tables 2(A) and 2(B), the concentration of controlling shareholders is shown to have a negative association with REM. In contrast, the concentration of external blockholders has a positive association with REM. There is a negative correlation between the Z-score and REM. A positive correlation exists between size and REM and its various alternate combinations. There is also a positive correlation between leverage and REM. A negative correlation can be found between REM and MBV, which is a measure of market valuation. A negative correlation also exists between REM and the characteristics of the Audit Committee, such as audit committee meetings and audit committee size; however, in a few cases, statistical significance does not support the association. There is a lack of consistency in the correlation between REM and board features such as board size and independence. It has a positive association in some circumstances and a negative association in others.

6.2 Baseline Model

Table 3: Impact of Ownership Concentration on Real Earnings Management

Variable	Dependent Variable			
	REM	**REM01**	**REM02**	**REM03**
NONPROM_TOP5	0.030*	0.001*	0.018*	0.018*
PROM_TOP5	-0.009	0.000	-0.002	-0.002
ZSCORE	-0.010*	0.000	0.000	0.000
ROA	0.046*	-0.001*	0.030*	0.029*
SIZE	0.371*	0.003	0.207*	0.197*
LEVERAGE	0.126	0.008*	0.011	0.010
MBV	-0.448*	-0.011*	-0.121*	-0.100*
ACMEET	-0.177*	-0.002	-0.149*	-0.150*
ACSIZE	0.156*	0.002	0.105*	0.098*
BOARDIND	2.481*	-0.016	1.046*	1.092*
BOARDSIZE	-0.199*	-0.004*	-0.085*	-0.081*
BIG5	-0.516*	-0.017	-0.511*	-0.494*
Constant	-2.221*	0.010	-1.587*	-1.536*
R-squared	0.090	0.038	0.050	0.050
Adjusted R-squared	0.079	0.026	0.038	0.038
F-statistic	7.897*	3.166*	4.160*	4.166*
Time period	2011-2021	2011-2021	2011-2021	2011-2021
Firms	652	652	652	652
Firm-Years	4342	4342	4342	4342
Industry fixed-effects	YES	YES	YES	YES
Year fixed-effects	YES	YES	YES	YES

Source: Author's Estimation from regression analysis; *indicates a 5 percent level of significance

The concentration of controlling shareholders has a negligible effect on REM in all four scenarios. Neither of the models establishes a statistically significant association. Table 3 shows that for every 1% rise in the concentration of external blockholders, abnormal discretionary spending rises by 0.030 percentage points. All three combinations of discretionary expenditure (i.e., advertisements, research & development, and Selling, general & administration) produce qualitatively similar results. A very low coefficient value is reported for the REM01. The findings corroborate with the prior literature which supports the private benefit hypothesis(inter-alia, AL-Duais et al., 2021; Grossman and Hart,1980; Koh, 2007; Lin and Manowan,2012; Hsu and Wen,2015; Debnath et al., 2021). Increasing concentration of external blockholders is predictive of elevated earnings management. For their interest, external blockholders often try to use sensitive information from the investee company. It incentivizes management to provide a distorted picture of the company's financial performance in their reports. Managers are more likely to engage in earnings management in such a setting.

Piosik and Genge(2019) were among the researchers who found that institutional ownership has a positive effect on REM, especially concerning discretionary expenditure relating to SGA. According to Piosik and Genge(2019), a dummy variable of ‘5 percent or more investment or otherwise’ was considered for institutional investment. The present study considers the sum of the first five largest external blockholdings as a proxy for external blockholders’ concentration. Compared to a dummy variable, the information content of this sort of continuous variable is rather high. Results from the current study are more convincing since they are based on a more rigorous metric for assessing the impact of external blockholders' concentration.

With respect to controlling variables, the findings show that Z-score negatively affects REM. Except for REM01, ROA exhibits a positive effect, suggesting that a higher ROA results in a larger REM. A positive impact is shown by the company's size, implying that larger businesses enjoy more leeway in allocating resources. The use of leverage is likewise correlated favorably with REM. Increased leverage and stricter debt covenants show that the firm's managers are under significant pressure to restrict discretionary expenditure to reduce the impact of unpleasant shocks resulting from fluctuating profitability and impacting stock prices. An MBV is predictive of less REM because stocks at the forefront of investments may be subject to greater scrutiny, resulting in less scope for earnings management.

Audit committee meetings and board size both have a negative effect. However, the management of real activities is enhanced by a larger audit committee and greater independence from the board. This suggests that a larger audit committee could have more difficulty coordinating its efforts, resulting in less effective monitoring. However, if the audit committee regularly holds meetings, it actively monitors the management. For the board, however, the converse is true: more members on the board means less control over the company's finances. However, this is not the case when there are a larger number of independent directors. It suggests that exceeding a specific limit in the number of directors will result in coordination issues and will be conducive for the management to become more opportunistic in managing the earnings.

The concentration of external blockholders is a significant indicator of earnings management. There is a common trend of external blockholders attempting to leverage confidential information obtained from an investee firm for their benefit. It encourages top executives to portray a falsely positive financial picture of the organization. Managers are more prone to participate in earnings management under this organizational structure. The empirical model is built using NIC-2 digit fixed effects and annual fixed effects to minimize the impact of industry-specific changes and inter-temporal variations. The F-statistic is also highly significant for these models.

6.3. Moderating the Effect of Group Size

The degree to which controlling shareholders' rights to control and receive cash flows are separated is a common indicator of the complexity of highly concentrated ownership arrangements. It's a big contributor to the agency problem faced by companies in developing economies. The pyramiding of related companies inside business groups is a common technique for forming such divergence. More data demonstrates that in emerging nations, a higher diversification leads to more opportunistic earnings management. The present study employs group size as a measure of the pyramiding effect.

It is common for corporate groups to have a pyramidal structure and cross-holdings among group affiliates, both of which allow the ultimate owner of the group to exert control over the group companies with a minimal outlay of equity. Group members are also linked through related party transactions, implicit relationships, and internal capital and labor markets.

The significant concentration of ownership in Asian stock markets is a well-known phenomenon, with most companies owned by either family firms or major conglomerates. Companies that are part of a larger group may find it simpler to secure funding thanks to the credibility and relationships of the larger organization. Furthermore, there may be a moderating influence due to the incentives provided by the alignment effect. Against this backdrop, this research examines the impact of business group size on earnings management.

Recent studies show that affiliation with a business group has increased the likelihood of earnings management (Bae and Jeong, 2007; Kim and Yi, 2006; Sarkar et al., 2008). Still, the potential impact of audit quality and board characteristics on this relationship has received little attention, particularly in emerging economies. Against this backdrop, the present study also controls the impact of audit committees and Board characteristics to effectively analyze the impact of ownership concentration on REM.

Table 4: Moderating Effect of Group Size on Relationship between Ownership Concentration and REM

	Dependent Variable			
Variable	**REM**	**REM01**	**REM02**	**REM03**
NONPROM_TOP5 *LOG(GROUP_SIZE)	0.016*	0.000	0.009*	0.009*
PROM_TOP5 *LOG(GROUP_SIZE)	-0.002	0.000	-0.002*	-0.002*
ZSCORE	-0.010*	0.000	0.000	0.000
ROA	0.044*	-0.001*	0.031*	0.029*
SIZE	0.370*	0.002	0.208*	0.199*
LEVERAGE	0.112	0.009*	0.001	-0.001
MBV	-0.443*	-0.010*	-0.117*	-0.096*
ACMEET	-0.176*	-0.002	-0.154*	-0.154*
ACSIZE	0.156*	0.002	0.102*	0.095*
BOARDIND	2.521*	-0.019	0.992*	1.041*
BOARDSIZE	-0.207*	-0.004*	-0.087*	-0.083*

BIG5	-0.559*	-0.014	-0.522*	-0.504*
Constant	-2.340*	0.041	-1.383*	-1.310*
R-squared	0.088	0.038	0.050	0.050
Adjusted R-squared	0.076	0.026	0.038	0.038
F-statistic	7.578*	3.105*	4.125*	4.129*
Time period	2011-2021	2011-2021	2011-2021	2011-2021
No. of firms	647	647	647	647
Firm-Years	4342	4342	4342	4342

Source: Author's Estimation from regression analysis; *indicates a 5 percent level of significance

As shown in table 4, moderating the impact of group size on the relationship between external blockholder concentration and REM does not alter the nature of the relationship and its significance. However, a considerable difference in the coefficient value can be noticed. It indicates that in large groups, the positive impact of external blockholder concentration on real earnings management is less. The findings also reveal that controlling shareholder concentration has a significant positive effect.

In emerging nations, group affiliation leads to opportunistic earnings management, according to the research. The association between corporate coalitions and earnings management is especially important in emerging markets, where robust legal institutions and investor protection procedures are typically missing. It is common knowledge that either family businesses or large conglomerates control most companies listed on Asian stock exchanges. A parent company's reputation and established network might favor subsidiary businesses seeking investment. As an added layer of complexity, the incentive alignment impact of large shareholdings may act as a moderating factor (Leuz et al., 2003; Persakis and Iatridis, 2016; Kim and Yi, 2006; Beuselinck and Deloof, 2014; Sarkar et al., 2008). The impact of all the controlling variables is qualitatively similar to baseline results. R-squared and adjusted R-squared values are also in a similar range.

7. Conclusion and Implications

The present study examines the association between blockholders' concentration and real earnings management through the 'private benefit hypothesis,' which postulates the positive association between external blockholders' shares and earnings management. Two main reasons support the hypothesis. One is to prevent the external blockholders from trading on the privately accessible information from the investee firm, and the managers try to manage the reported earnings, which can effectively offset the benefits of such private information and discourages the blockholders from trading on such information at the cost of the other shareholders in the firm. Secondly, more investment by external blockholders pressurizes the managers to meet/beat the earnings benchmarks.

Against this backdrop of logical argument put forward by the private benefit hypothesis, the present study hypothesizes the positive association between external blockholder concentration and real activities management through discretionary spending. The empirical model tests on 4,352 firm years represented by 652 firms yield results in line with the proposed hypothesis. The findings establish a significant positive association between blockholder concentration and real activities management.

According to this result, group-affiliated firms controlled by the company's promoters are not motivating real earnings management. In other words, the higher the promoter holdings, the lower the earnings management and vice versa. This study also demonstrates that companies whose ownership is mostly held by external blockholders are more likely to get involved in REM by spending fewer discretionary expenses. When there is a higher concentration of shares held by institutions, managers are more inclined to use their discretionary funds to pursue short-term opportunistic goals. The reasons may include the following: they may be forming a strategic alliance with the management to fulfill their interests (Pound, 1988); they may be experiencing a free-rider problem or a lack of expertise (Admati, Pfleiderer, & Zechner, 1994); they may be investing with short-term motives in the same manner as transient investors.

This study's findings will provide insights into how ownership structure influences the quality of financial reporting. The transient nature of investment by the external blockholders motivates real activities management. Hence, long-term investment by external blockholders always helps improve the quality of financial reporting by exercising lower pressure on the management to inflate the earnings in the short run to meet the earnings targets.

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